

that you have the time and resources to come through any situation with the best possible result.

Why does dealing with money seem so terrifying? The fear of the unknown is a very real fear and few of us have had the good fortune to be fully educated in financial matters. This is a major issue for young people, who are new to the world of personal finance—a world that grows increasingly difficult to handle.

When young adults are left to “figure it out themselves” this trial and error method proves costly and usually results in a pattern of poor financial management. As personal finance becomes more complex and people have access to more credit at a younger age, it becomes apparent that learning how to manage one’s money has evolved into a life skill like reading and writing. By gaining an understanding of personal finance, you will have the tools necessary to avoid making costly mistakes.

For most young people, finance is learned at home. A 2007 survey by the Hartford Financial Services Group found that about 70 percent of college students cited their parents as their primary source of information. Unfortunately, parents are not always the best source for this information since many consider money to be a private matter and therefore a taboo topic for conversation or because they lack a proper understanding of finances themselves. This same study found that less than half of the students said their parents made a consistent and conscientious effort to teach them about money. So much of the learning happens through observation, which unaccompanied by explanation, can lead to confusion or misinterpretation.

Another unfortunate fact is that few of us learn about money at school. Before high school graduation, most students have the opportunity to enroll in an elective personal finance

